

POL 385: Politics of the Global Economy

Princeton University

Fall 2026

Professor Noah Zucker (noahzucker@princeton.edu)

Office hours by appointment, 444 Robertson ([sign up on Calendly](#))

Lecture: Monday and Wednesday, 3:30–4:20 pm, 100 Robertson (Arthur Lewis Auditorium)

Precept (P01, with Professor Zucker): Tuesday, 10:40–11:30 am, 006 Robertson

Preceptors

Min Byung Chae (mbchae@princeton.edu)

Office hours: Wednesday, 1:30–3 pm, 408 Robertson

Precept (P02): Tuesday, 2:25–3:15 pm, 210 Dickinson

Precept (P03): Tuesday, 3:30–4:20 pm, 210 Dickinson

Hye-Min Yi (hy7257@princeton.edu)

Office hours: Monday, 1:30–3 pm, 443D Robertson ([sign up on Calendly](#))

Precept (P04): Wednesday, 9:35–10:25 am, 008 Robertson

Precept (P05): Wednesday, 10:40–11:30 am, 008 Robertson

Iván Tubío (it3257@princeton.edu):

Office hours: Thursday, 5–6:30 pm, 415A Robertson ([sign up on Calendly](#))

Precept (P06): Thursday, 3:30–4:20 pm, 245 East Pyne

Precept (P07): Thursday, 7:30–8:20 pm, 014 Robertson

Overview

How do states govern the global economy? How did the modern international economic order emerge? Why is it now under pressure? This course will explore the politics of tariffs and trade, money and finance, firms, climate change, and migration. We will analyze a range of theoretical approaches for understanding historical cases and current events. In a series of interactive case studies, you will step into the shoes of political leaders contending with real-world policy challenges, learning about the difficult tradeoffs they face and possible paths forward.

By the end of the course, you will be able to synthesize and critique key theories in international political economy, explain variation in empirical political-economic outcomes, and critically evaluate and persuasively communicate complex social scientific ideas.

Four weeks will include interactive case study sessions. These sessions, which will span both a lecture and the following precept, depend on active and enthusiastic student participation. In advance of three of these sessions, you will submit a memo proposing and defending a policy direction for the decision-maker featured in the study (max 1,200 words each; 35% of final grade). Guidelines for these memos will be

provided in class. You will also be assessed on the basis of an in-person midterm exam on October 14 (20%), in-person final exam on December 20 (25%), and the quality of your participation in case study sessions and precepts (20%). See [here](#) for information on grading standards in the department.

You will need to obtain the case studies through Harvard Business School. Go [here](https://hbsp.harvard.edu/import/1440050) to access the POL 385 coursepack: hbsp.harvard.edu/import/1440050. Create an account using your Princeton email and follow the instructions to purchase the cases for a small sum. Please let me know as soon as you can if you have any concerns about acquiring the coursepack.

Attendance at all lectures and precepts is required and will be recorded. If you have to miss class, contact your preceptor in advance. Active student participation is a central part of this class. In order to participate well, you should thoughtfully do the assigned readings prior to a given class. You should then attend your precept ready to offer your thoughts and ask questions. What are the strengths and weaknesses of their theoretical arguments? How convincing is the empirical evidence? How do readings relate to each other? What is confusing or not entirely convincing? Keep in mind that a valuable form of participation is asking questions about the material; you don't need to fully grasp the readings in order to participate well!

You are encouraged to follow current events relating to course topics. *Bloomberg*, *The Economist*, *The Financial Times*, *The New York Times*, and *The Wall Street Journal* have excellent coverage of global economic politics; you should be able to access these publications through the library. Worthwhile podcasts include [Marketplace](#), [Planet Money](#), [The Economics Show](#), [Macro Musings](#), [Odd Lots](#), [Sovereign Debt with Jill Dauchy](#), and [The New Bazaar](#).

Academic Integrity

You are encouraged to collaborate with your classmates in working through course concepts and readings. You may ask classmates for feedback on your written work. But you remain fully responsible for doing all course readings and completing all course assignments. All work that you submit must be yours and yours alone. Ideas that you draw from elsewhere in written assignments must be properly cited (any standard style for the social sciences is fine).

If you are struggling with course material and assignment deadlines, please let me know sooner rather than later. We can likely find a solution. Meeting with me, or submitting late and accepting a lower grade, is always better than cheating. Plagiarism can (and often does) come back to bite people many years later.

AI Policy

Generative AI has some useful applications. But there are nevertheless two strict prohibitions on its use in this course. First, you may not copy or paraphrase any AI output into your written work, even if it is properly quoted and cited, nor may you use AI to generate comments you make in class (e.g., during case study sessions). Second, you must do all readings yourself. You may use large language models (LLMs) to, for example, better understand an empirical method applied in a reading or clarify course concepts. That is, you may use AI to enhance your learning, not as a means of doing less work for the course.

I discourage heavy AI use for a few reasons:

Narrowly, you will have to complete in-person exams in this course without reference to these aids. AI interpretations of academic work, proposals of research ideas, composition of essays, etc. are often of

middling quality and easy to detect in student writing. Even if you happen to avoid detection, grades for AI-generated content will be worse than what you could earn by doing your own work.

More importantly, you are putting yourself at a long-term disadvantage if you use AI as a crutch now. Society and the marketplace reward people who think creatively and critically, and who can communicate their ideas well. Attending a school like Princeton is a remarkable opportunity to develop these skills. Relying on AI wastes this opportunity. The process of struggling through difficult class concepts, or the process of figuring out how to communicate and defend a complex idea in an essay, is training for your brain that will pay big dividends for you down the line.

Borrowing from Ken Schultz, “The most valuable part of the assignments [for this course] is the effort you put in, not the product. Moreover, generative AI applications ... are not designed to consider whether the answers that they provide are actually correct. The problem isn’t just that they sometimes get things wrong; it’s that *they do not care*. That indifference to truth is antithetical to the goals of this class, which prioritizes careful evaluation of theoretical and empirical claims.”

Evidence increasingly points to risks of AI reliance. [Microsoft researchers](#) warn that use of generative AI “can inhibit critical engagement with work and can potentially lead to long-term overreliance on the tool and diminished skill for independent problem-solving.” A [scientist at Google DeepMind](#) argues that LLMs are not suited for making the types of theoretical “jumps” needed for scholarly creativity. [Credible research](#) suggests that students who rely on AI learn significantly less than others.

If you choose to use AI, I ask that you do so cautiously, creatively, and not as a means of avoiding doing work for the course. In all written assignments for this course, you must include a short addendum of 1–3 sentences in which you describe and reflect on your use of AI (this will not count against word limits). You should be open and honest about your use of AI. If you did not use AI at all, you should state that and offer a short explanation for why. Submissions that do not include this addendum will be returned to you for correction and may be subject to a penalty.

Using these tools without disclosing when and how you used them is a violation of the University’s [academic regulations](#). Passing off AI-generated content as your own will be treated as plagiarism.

Accommodations

I am happy to make accommodations if you anticipate barriers to your learning in the course. I am better able to do so if you let me know about these challenges sooner rather than later. If you will require accommodations due to a disability, you must register with the [Office of Disability Services](#); you should do so as soon as possible. I encourage you to then contact me at the beginning of the semester, or whenever the barrier arises, and again before course assessments so we can implement your ODS plan.

You may also experience mental health challenges during the semester. I encourage you to make use of the [on-campus mental health services](#). If you have an urgent concern, you may [go here](#) for support. Counselors are available 24/7 through the CPS Cares Line (609-258-3141).

Course Outline

Sept 2	<i>No class</i>	
Sept 7	<i>No class (Labor Day)</i>	
Sept 9	Introduction and Trade I: Fundamentals	
Sept 14	Trade II: Protectionism	← precepts start this week
Sept 16	Trade III: Distributive Politics and Institutions	
Sept 21	Trade IV: International Conflict and Cooperation	
Sept 23	Trade V: Backlash	
Sept 28	*Case Study I: India, 1991	
Sept 30	Money I: Exchange Rates	
Oct 5	Money II: Exchange Rates, Continued	
Oct 7	Money III: Debt	
Oct 12	*Case Study II: Greece, 2012	
Oct 14	Midterm Exam	
Oct 19	<i>No class (fall break)</i>	
Oct 21	<i>No class (fall break)</i>	
Oct 26	Special Guest: Chad Bown	
Oct 28	Firms I: Foreign Direct Investment	
Nov 2	Firms II: Regulation	
Nov 4	Climate I: International Cooperation	
Nov 9	Climate II: Domestic Barriers	
Nov 11	Climate III: Catalysts	
Nov 16	*Case Study III: Brazil, 2019	
Nov 18	Migration I: Migrants and Natives	
Nov 23	Migration II: Policy Choice	
Nov 25	<i>No class (Thanksgiving)</i>	
Nov 30	*Case Study IV: Germany, 2015	
Dec 2	New Challenges for Economic Governance	
Dec 7	Review	
Dec 20	Final Exam (7:30 pm)	

All the following readings are required unless otherwise stated. They are posted to Canvas.

No Class (September 2)

No class due to Prof. Zucker traveling. Please complete onboarding form here: bit.ly/POL385

Labor Day (September 7)

No class.

Introduction and Trade I: Fundamentals (September 9)

There is no required reading for this class.

Trade II: Protectionism (September 14)

Note: Precepts start this week.

1. Krugman, Obstfeld, and Melitz 2018, “The Instruments of Trade Policy,” in *International Economics: Theory and Policy* (11th edition), Pearson. [Pages 243–266. Can skip case studies.]
2. Irwin 1996, “Three Simple Principles of Trade Policy,” AEI Press. [Pages 2–27.]

Trade III: Distributive Politics and Institutions (September 16)

1. Alt and Gilligan 1994, “The Political Economy of Trading States: Factor Specificity, Collective Action Problems, and Domestic Political Institutions,” *Journal of Political Philosophy*.
2. Milner and Kubota 2005, “Why the Move to Free Trade? Democracy and Trade Policy in the Developing Countries,” *International Organization*.

Trade IV: International Conflict and Cooperation (September 21)

1. Krasner 1976, “State Power and the Structure of International Trade,” *World Politics*.
2. Bagwell and Staiger 2010, “The World Trade Organization: Theory and Practice,” *Annual Review of Economics*. [Pages 224–235 only.]
3. Smialek 2025, “[American Allies Want to Redraw the World’s Trade Map, Minus the U.S.](#),” *The New York Times*.

Trade V: Backlash (September 23)

1. Autor, Dorn, and Hanson 2025, “[How the China Trade Shock Impacted U.S. Manufacturing Workers and Labor Markets, and the Consequences for U.S. Politics](#),” Washington Center for Equitable Growth.
2. Clark, Khoban, and Zucker 2026, “Breadwinner Backlash: The Gendered Effects of Industrial Decline,” *American Journal of Political Science*.

Case Study I: India, 1991 (September 28)

- “India: Liberalize in the Face of Crisis?”

Money I: Exchange Rates (September 30)

1. Frieden 2015, *Currency Politics: The Political Economy of Exchange Rate Policy*, Princeton University Press. [Introduction and chapter 1 only.]
2. Smith, Keohane, Duguid, and Jones 2026, “[Scott Bessent’s Yen Intervention Signals New Era of US ‘Currency Activism’](#),” *Financial Times*.
3. Ha and Carson 2026, “[Why a Weak Yen Is America’s Problem](#),” *Bloomberg* [podcast].

Money II: Exchange Rates, Continued (October 5)

1. Frieden 2015, *Currency Politics: The Political Economy of Exchange Rate Policy*, Princeton University Press. [Chapters 2–3 only.]
2. Lowenstein 2011, “[The Nixon Shock](#),” *Bloomberg Businessweek*.

Optional podcast: “[The Deal That Put the Dollar at the Centre of the World](#),” *Financial Times*.

Money III: Debt (October 7)

1. Mosley and Rosendorff 2025, “[Good to Know: Sovereign Debt](#),” *Good Authority*.
2. North and Weingast 1989, “Constitutions and Commitment: The Evolution of Institutions Governing Public Choice in Seventeenth-Century England,” *Journal of Economic History*.
3. Frieden and Walter 2017, “Understanding the Political Economy of the Eurozone Crisis,” *Annual Review of Political Science*.
4. Ritchie and Burgess 2026, “[Global Bond Slump Sends Long-Term Borrowing Costs to Highest in Decades](#),” *Bloomberg*.

Optional reading:

- Xie 2025, “[The Bond Investors Threatening Trump’s ‘Big, Beautiful’ Tax Bill](#),” *Bloomberg*.
- Mackintosh 2026, “[Why Scott Bessent Is Playing With the Treasury Market](#),” *Wall Street Journal*.

Case Study II: Greece, 2012 (October 12)

- “To Grexit or Not? Politics and Greece’s Sovereign Debt Crisis.”

Midterm Exam (October 14)

The midterm exam will consist of short answer questions and one short essay. It will be held in person.

Fall Break (October 19–23)

No class.

Special Guest: Chad Bown (October 26)

[Chad Bown](#), Reginald Jones Senior Fellow at the Peterson Institute for International Economics, will visit for Q&A about ongoing trade wars.

- Keynes and Bown 2026, *How to Win a Trade War: An Optimistic Guide to an Anxious Global Economy*. [Chapters 3, 4, 11 only.]

Firms I: Foreign Direct Investment (October 28)

1. Hamby 2016, “[The Court That Rules the World](#),” *BuzzFeed News*. [Can skip the case studies.]
2. Pelc 2017, “What Explains the Low Success Rate of Investor-State Disputes?,” *International Organization*.

Firms II: Regulation (November 2)

1. Bombardini and Trebbi 2025, “The Political Power of Firms,” in the *North Holland Handbook of Political Economy*. [Pages 1–35 only.]
2. Malhotra, Monin, and Tomz 2019, “Does Private Regulation Preempt Public Regulation?,” *American Political Science Review*.

Climate I: International Cooperation (November 4)

1. Falkner 2016, “The Paris Agreement and the New Logic of International Climate Politics,” *International Affairs*.
2. Lustgarten 2022, “[The Barbados Rebellion](#),” *The New York Times*.

Climate II: Domestic Barriers (November 9)

1. Robertson 2018, “[In Coal Country, the Mines Shut Down, the Women Went to Work and the World Quietly Changed](#),” *The New York Times*.
2. Bush and Clayton 2023, “Facing Change: Gender and Climate Change Attitudes Worldwide,” *American Political Science Review*.
3. Colantone et al. 2024, “The Political Consequences of Green Policies: Evidence from Italy,” *American Political Science Review*.

Climate III: Catalysts (November 11)

1. Bolet, Green, and González-Eguino 2024, “How to Get Coal Country to Vote for Climate Policy: The Effect of a ‘Just Transition Agreement’ on Spanish Election Results,” *American Political Science Review*.
2. Clark and Zucker 2024, “Climate Cascades: IOs and the Prioritization of Climate Action,” *American Journal of Political Science*.

Case Study III: Brazil, 2019 (November 16)

- “Global Climate Cooperation and Conflict: Brazil and the Paris Agreement.”

Migration I: Migrants and Natives (November 18)

1. Dancygier 2010, *Immigration and Conflict in Europe*, Cambridge University Press. [Chapters 1–2 only.]
2. Tabellini 2020, “Gifts of the Immigrants, Woes of the Natives: Lessons from the Age of Mass Migration,” *Review of Economic Studies*.

Migration II: Policy Choice (November 23)

1. Peters 2014, “Trade, Foreign Direct Investment, and Immigration Policy Making in the United States,” *International Organization*.

2. Gaikwad and Nellis 2020, “[Investigating Discrimination Against Migrants in Urban India: The Electoral Connection](#),” Center for the Advanced Study of India.
3. Bustillo 2025, “[After Early Reprieve from Immigration Enforcement, Farming Industry Reckons with Raids](#),” *National Public Radio*.

Thanksgiving Break (November 25–27)

No class.

Case Study IV: Germany, 2015 (November 30)

- “Willkommen to Europe: The Political Economy of Migration Policy in Germany.”

New Challenges for Economic Governance (December 2)

1. Farrell and Newman 2019, “Weaponized Interdependence: How Global Economic Networks Shape State Coercion,” *International Security*.
2. Narayanan and Kapoor 2025, “[AI as Normal Technology](#),” *Knight First Amendment Institute*.
3. Hassabis 2026, “[A Framework for Frontier AI and the Dawning of a New Age](#),” *X*.

Optional reading:

- Brynjolfsson, Chandar, and Chen 2026, “[Canaries in the Coal Mine? Six Facts about the Recent Employment Effects of Artificial Intelligence](#),” Stanford Digital Economy Lab.
- Ding, Chen, and Warren 2026, “[US Lead in the AI Race With China Is Rapidly Narrowing](#),” *Bloomberg*.

Review (December 7)

There is no required reading for this class.

Final Exam (December 20, 7:30 pm, room TBA)

The final exam will consist of short answer questions and short essays. It will be held in person.